

Dealer Gamma & Spread Strategy

A practical framework for moving beyond directional bets toward regime, flow, and relative-value execution.



PLAYBOOK OVERVIEW

How to Use This Playbook

This internal playbook translates a common retail question - “*will the asset go up or down?*” - into a professional workflow: **which spread, volatility regime, and dealer-hedging feedback loop is mispriced?** The objective is not to predict every tick. The objective is to structure trades around mechanics that can be observed, invalidated, and risk-controlled.

Operating principle

A directional thesis says: “I think price goes up.” A gamma-spread thesis says: “If spot moves through this level, dealer hedging may amplify or dampen the move, so this defined-risk spread expresses that regime better than naked direction.”

Use case	What this playbook helps you decide	What it does not do
Pre-trade planning	Map where option positioning could create pinning, breakout fuel, or vol compression.	It does not infer true dealer inventory from open interest alone.
Trade structuring	Choose between long-gamma, short-vol, relative-value, or no-trade structures.	It does not make a trade suitable for every account or risk profile.
Risk control	Write entry trigger, invalidation, max loss, and monitoring checks before entry.	It does not remove gap, liquidity, assignment, execution, or model risk.

- **Audience:** internal trading/research users who understand options basics and need a clean decision framework.
- **Default posture:** defined-risk structures first; avoid naked short options unless an approved risk process explicitly permits them.
- **Source standard:** market structure claims should be checked against primary or exchange/clearing education sources; see references.

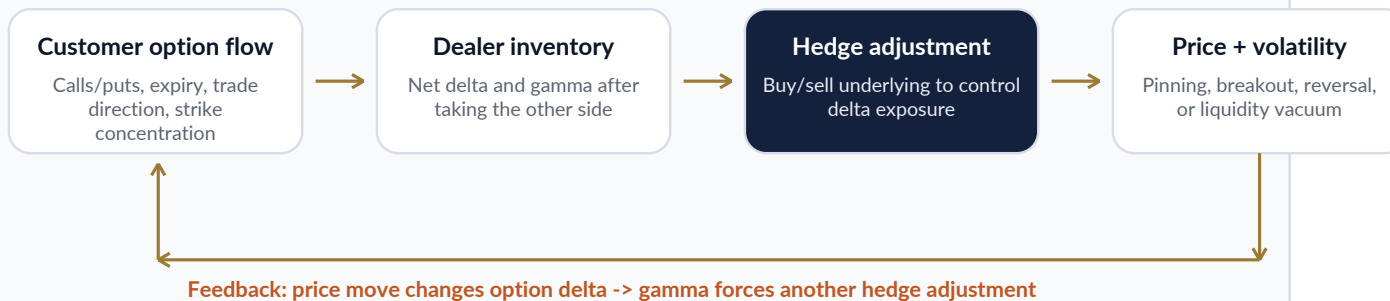
ONE-PAGE MODEL

The Core Thesis

Spread trading inside a dealer-positioning framework is a bet on **structure**: relative performance, volatility expansion/compression, and the mechanical hedge flows that can appear when options exposure changes around key strikes. The trade is designed only after the regime is identified.

Dealer Hedging Feedback Loop

A spread thesis maps where hedging flow may compress, amplify, or transfer risk.



Layer	Question	Signal examples	Trade implication
1. Fuel	Where is latent exposure concentrated?	Open interest, strike clustering, IV, gamma by strike.	Identify levels where hedging demand could matter.
2. Trigger	What activates the exposure?	Spot breaks key strike, catalyst, sweep/block flow, IV bid.	Wait for evidence; avoid guessing before trigger.
3. Feedback	Does hedging chase or fade the move?	Dealer short gamma = chase; dealer long gamma = dampen.	Choose expansion vs compression structures.
4. Result	What regime should the spread express?	Trend acceleration, pinning, reversal, vol crush, dispersion.	Use defined-risk options or relative-value spread.

The professional translation

The question is not “bullish or bearish?” The question is: **what flow is forced, who is hedging, where is liquidity thin, and which spread pays if the regime behaves as expected?**

FOUNDATION

Direction vs. Spread: The Mindset Shift

A directional trade is exposed primarily to absolute price movement. A spread trade is exposed to a relationship: one asset versus another, one strike versus another, one expiry versus another, or implied volatility versus realized volatility. This reduces one kind of risk while introducing basis, timing, execution, and model risk.

DIRECTIONAL

Single-leg opinion

Long stock, short stock, or a single option. P/L is dominated by price direction and timing.

SPREAD

Relative/regime opinion

Long one exposure and short another. P/L depends on the relationship you selected.

GAMMA FRAME

Dealer-flow opinion

The spread is chosen because hedging behavior may dampen, amplify, or redirect market movement.

CONTROL

Defined risk first

The structure should specify max loss, win condition, invalidation, and expected holding window before entry.

Spread type	What it expresses	Useful when	Primary failure mode
Vertical debit spread	Directional move with capped risk/capped reward.	Breakout expected but premium is expensive.	Move stalls or arrives too late.
Straddle / strangle	Volatility expansion more than direction.	Dealer short gamma, catalyst, or break from pin.	IV crush, theta bleed, liquidity spread.
Iron condor / credit spread	Volatility compression / range.	Dealer long gamma, pinning, shrinking realized vol.	Gap through short strike.
Pairs / relative spread	One asset outperforms another.	Divergent gamma support, catalyst, or sector dispersion.	Correlation break or beta mismatch.
Calendar / diagonal	Timing, term structure, and vega.	Front expiry pin or event vs back-month premium.	Wrong timing or volatility surface shift.

DEALER MECHANICS

Dealer Gamma Mechanics

Gamma measures how an option’s delta changes as the underlying price changes. In a dealer-hedging context, gamma indicates how much a market maker may need to adjust the delta hedge as spot moves. The sign and magnitude of net gamma matter: large exposure near spot can become an intraday liquidity force, while balanced customer buying/selling can leave dealers with little net exposure despite high gross volume. [2][3]

Positive / Long Dealer Gamma

Hedging tends to dampen moves

Spot rallies **sell** underlying / futures

Spot falls **buy** underlying / futures

Typical tape **pin/revert** lower realized volatility

Negative / Short Dealer Gamma

Hedging can chase the move

Spot rallies **buy** underlying / futures

Spot falls **sell** underlying / futures

Typical tape **trend/air pocket** higher realized volatility

Concept	Plain-English meaning	Why it matters in the playbook
Delta	How much the option price changes for a small move in the underlying.	Approximate hedge units are based on delta, contracts, and multiplier.
Gamma	How quickly delta changes as the underlying moves.	The re-hedging force. High gamma near spot means hedge needs can change quickly.
Long dealer gamma	Dealer hedge typically leans against the underlying move.	Can support pinning, mean reversion, and realized-vol compression.
Short dealer gamma	Dealer hedge typically moves with the underlying move.	Can support acceleration, air pockets, and realized-vol expansion.
Net gamma	Aggregate dealer exposure after offsetting flows.	Gross option volume alone is not enough; net positioning and flow balance matter.

Critical caution

Open interest is a useful map, not a live truth machine. OI does not reveal whether customers or dealers own the exposure. Whenever possible, pair static OI/gamma maps with live trade direction, volume, liquidity, and price confirmation.

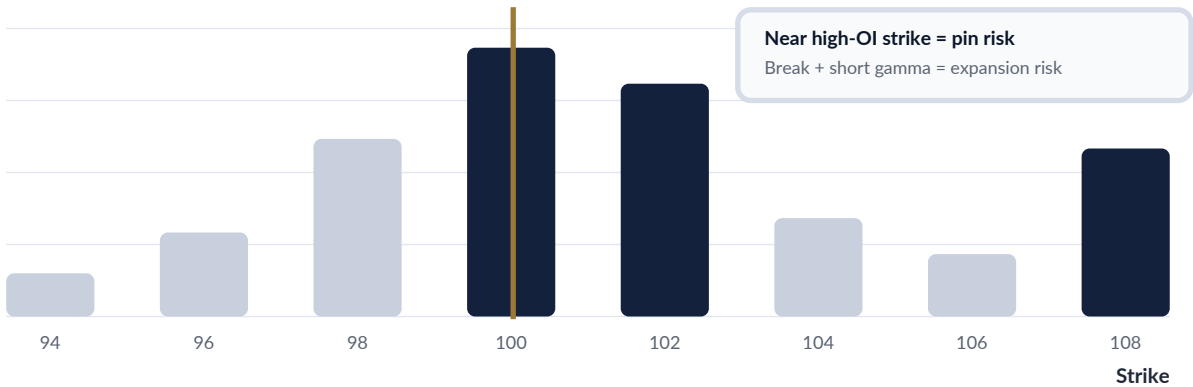
POSITIONING MAP

From Strike Map to Trade Hypothesis

A strike map is a planning tool. It shows where the options surface may create “gravity” or “fuel,” but the actual trade requires a trigger and an invalidation. The best use is to mark zones where hedging flows may change character: pin zones, breakout zones, and gamma-flip zones.

Illustrative Strike Map: Where the Spread Thesis Comes From

Bars are open interest/gamma proxies; gold line is spot. Use live flow to confirm dealer-side sign.



Formula / check	Use	Caveat
Approx. hedge shares = delta x contracts x multiplier	Estimate how many shares/futures units are tied to a position.	Only valid for the assumed position side and contract specs.
Hedge change ≈ gamma x move in spot x contracts x multiplier	Estimate how hedge needs change when spot moves.	Gamma changes with spot, time, IV, and strike distance.
Dollar gamma per 1% ≈ gamma x OI x multiplier x spot ² x 0.01	Static proxy for where gamma may matter most.	Sign requires a dealer-side assumption; use live flow if available.

- 1 **Map:** identify the top strikes/expiries by OI, gamma proxy, and proximity to spot.
- 2 **Classify:** determine whether the regime is likely pinning, transition, or expansion.
- 3 **Trigger:** require price/volume/IV confirmation before risking capital.
- 4 **Structure:** express the thesis with a spread whose max loss and invalidation are known.

REGIME MAP

The Gamma Regime Matrix

The matrix converts the positioning read into a trading posture. It is intentionally conservative: when the data quality is weak or spot is near a gamma-flip zone, the correct action may be smaller size or no trade.

REGIME	Inside high-OI range	Breaking / outside key strikes
Dealer long gamma	PIN / MEAN REVERSION Favor patience. Defined-risk short-vol structures or fades only after tape confirms. Risk: breakout after complacency.	TRANSITION / GAMMA FLIP Reduce size until sign and flow are clear. Watch for whipsaw around flip zones. Risk: false break.
Dealer short gamma	COILED RANGE Do not short volatility blindly. Prepare breakout plan. Look for catalysts, liquidity gaps, rising IV.	EXPANSION / SQUEEZE Favor long-gamma or relative-strength spreads. Trade the feedback loop, not a naked opinion.

Rule of thumb

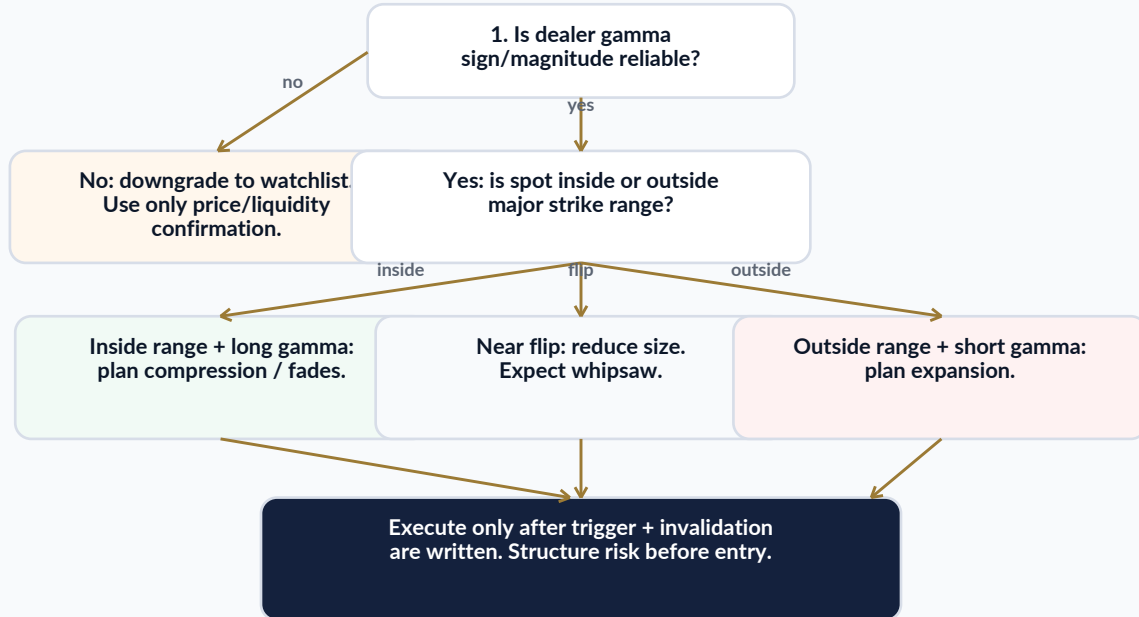
Dealer long gamma + spot inside a dense strike range usually favors mean reversion and volatility selling *only if* the tape confirms compression. Dealer short gamma + spot breaking a key strike favors long-gamma or relative-strength structures *only if* liquidity and flow confirm expansion.

This matrix is not a prediction engine. It is a **positioning lens** that helps avoid using the wrong structure in the wrong regime.

DECISION RULES

Regime-to-Structure Decision Tree

Regime-to-Structure Decision Tree



Gate	Pass condition	Fail response
Data quality	Gamma estimate has clear source, expiry, strike, and side assumptions.	Downgrade to watchlist; do not label it a gamma thesis.
Trigger	Spot confirms level with volume/relative volume, IV behavior, and liquidity.	No entry. The map is not the trade.
Structure fit	Payoff aligns with expansion, compression, or relative-value thesis.	Rebuild the spread or reduce to paper trade.
Risk budget	Max loss, stop, and exit process are written before order entry.	Do not enter. Undefined risk is not an internal playbook trade.

SIGNAL STACK

Data Inputs and Signal Quality

The same word - “gamma” - can mean very different levels of evidence. Treat the data stack as a confidence ladder. The lower the evidence, the more you should rely on price confirmation and smaller risk.

Tier	Input quality	What it can support	Do not overclaim
Tier 1	Live trade signing + dealer inventory estimate + option Greeks by strike/expiry.	Intraday gamma regime read, hedging-impact hypothesis, refined sizing.	Still model-dependent and subject to trade classification errors.
Tier 2	End-of-day OI + chain Greeks + current spot/IV + recent volume.	Static strike map, likely pin/break levels, watchlist alerts.	Cannot prove dealer side or live net exposure.
Tier 3	OI clusters, unusual volume, social/retail flow narratives.	Idea generation only.	Cannot justify a squeeze label by itself.
Price/market overlay	Trend, liquidity, volume profile, catalyst calendar, macro/earnings.	Trigger confirmation and invalidation.	Does not replace risk controls.

STATIC MAP

Pre-open

Locate key strikes, expiries, expected move, gamma proxy, and catalyst risk before the session.

LIVE FLOW

Intraday

Track spot crossing key strikes, call/put imbalances, IV bid, tape speed, and order-book depth.

VOL LENS

IV vs RV

Expansion trades need movement to beat theta and IV drag; compression trades need realized vol to stay contained.

LIQUIDITY

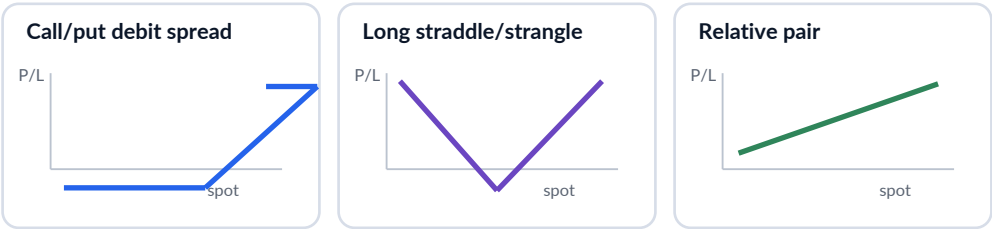
Execution

Avoid structures where bid/ask, assignment, borrow, or settlement rules dominate the thesis.

MODULE A

Dealer Short Gamma: Volatility Expansion Playbook

When dealers are estimated to be short gamma and spot breaks a key strike, hedging can move with the market: buying into rallies and selling into declines. The trader’s expression should usually be **long gamma or long convexity**, not naked directional overconfidence. [3]



Entry condition	Preferred structures	Risk controls
Spot breaks a high-gamma/high-OI strike with volume confirmation and IV expansion.	Debit spread, long call/put spread, long straddle/strangle, backspread, relative long/short basket.	Max loss known; avoid chasing after IV spike without defined invalidation.
Price exits a pin zone after a catalyst; bid/ask remains tradable.	Use spreads to reduce theta/IV cost; consider staggered entries.	Exit if spot re-enters pin range or IV collapses against thesis.
Sector/index move creates dispersion: one name has stronger flow/gamma support than peer.	Long candidate / short peer or benchmark; beta-adjust notional.	Monitor correlation, borrow/short availability, beta mismatch.

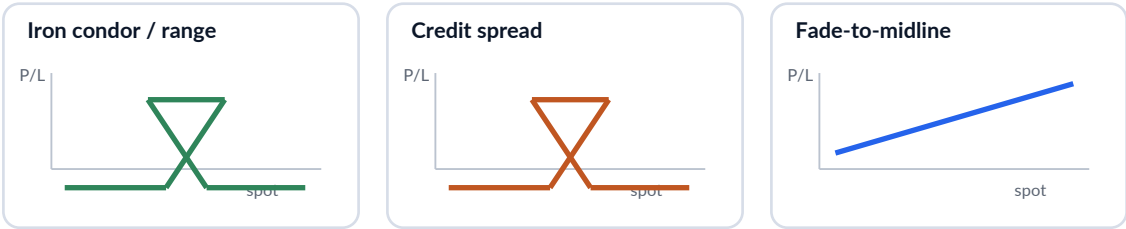
Invalidation examples

Price reclaims the broken strike in the opposite direction; volume dries up; IV stops expanding while spot stalls; live flow contradicts the inferred dealer-side exposure.

MODULE B

Dealer Long Gamma: Volatility Compression Playbook

When dealers are estimated to be long gamma, hedging generally leans against spot movement and may dampen realized volatility. This can create conditions where price pins near high open-interest strikes and short-volatility, range, or fade structures have a better regime fit. The trade must be defined-risk and monitored for breakout failure. [3][5]



Entry condition	Preferred structures	Risk controls
Spot stays inside high-OI range and realized vol compresses.	Defined-risk iron condor, credit spread, iron butterfly, calendar around pin.	Predefine max loss and stop level; do not average into a breakout.
IV rich versus expected realized move, no imminent catalyst.	Premium-selling structures with limited risk.	Respect event calendar; size smaller near macro/earnings.
Failed breakout returns into range.	Fade with tight invalidation or short-wing defined-risk spread.	Exit if failed breakout becomes continuation.

Do not confuse trader gamma with dealer gamma

A trader selling an iron condor is short gamma. That may fit a market where dealers are long gamma and the tape is dampened, but it can fail violently if the regime flips to dealer short gamma or a catalyst overwhelms pinning.

MODULE C

Relative Gamma Spread: Trade the Difference, Not the Market

A relative gamma spread compares two assets, sectors, or expiries. The goal is to neutralize some broad market direction and express a view that one instrument has stronger flow support, cleaner gamma setup, better liquidity, or a superior volatility regime.

Spread design	Question it answers	Construction notes
Single-name vs peer	Which name should outperform if the same market shock hits both?	Beta-adjust notional; compare earnings/catalyst calendars; check borrow and options liquidity.
Single-name vs ETF/index	Is idiosyncratic squeeze fuel stronger than market beta?	Long candidate, short sector/index hedge; size by beta and volatility.
Front expiry vs back expiry	Is near-term gamma/strike pin different from longer-dated vega?	Calendar/diagonal; watch event timing and IV term structure.
Call wing vs put wing	Is upside or downside convexity mispriced?	Risk reversal or skew spread; understand margin/assignment.

SCREEN

Relative setup

Candidate has closer key strike, stronger option flow, better liquidity, or cleaner catalyst path than peer.

HEDGE

Neutralize beta

Use beta or volatility-adjusted sizing. Dollar-neutral is not always risk-neutral.

TRIGGER

Require divergence

Enter only after spread begins moving in the thesis direction, not merely because the map looks interesting.

EXIT

Define convergence

Exit if relative strength fails, correlations break, or hedge leg becomes dominant risk.

Internal standard

Every relative spread ticket should include: long leg rationale, short leg rationale, beta/vol adjustment method, catalyst mismatch, borrow/liquidity note, and spread-level invalidation.

MODULE D

Event, Expiry, and ODTE Gamma: Advanced Handling

Short-dated options can concentrate gamma near spot. That does not automatically mean “squeeze.” Cboe’s ODTE analysis emphasizes that gross notional volume can look large while market-maker net exposure remains small if customer buys and sells are balanced. Use this module only when data quality and risk controls are strong. [3]

Situation	What to watch	Structure bias	Common trap
ODTE near large strike	Pinning vs break; order flow imbalance; bid/ask; time remaining.	Small, defined-risk debit/credit structures; often no-trade.	Mistaking high volume for net gamma risk.
Earnings / macro event	IV crush risk; expected move; skew; liquidity after event.	Debit spreads, calendars, or defined-risk premium sale only with explicit event plan.	Being right on direction but wrong on IV.
Expiration close	Pin risk, assignment/exercise, closing liquidity, settlement style.	Close or roll before operational risk dominates.	Holding spreads into assignment unexpectedly.
Gamma flip zone	Spot oscillation around flip; change in dealer hedge direction.	Reduce size; wait for clean acceptance outside zone.	Overtrading whipsaw.

ODTE policy note

For internal use, ODTE trades should be smaller, liquid, defined-risk, and time-boxed. If the trade cannot be explained in one sentence with a written max loss and close time, skip it.

- **Allowed thesis:** “Spot accepted above the key strike while live flow and IV suggest expansion.”
- **Rejected thesis:** “Lots of contracts traded, so dealers must squeeze.”
- **Operational check:** know settlement, exercise style, assignment risk, and broker cutoff times.

EXECUTION PROTOCOL

Daily Operating Workflow

The workflow below turns the framework into a repeatable process. It also prevents the common mistake of discovering the risk only after a position is already moving against you.

Time	Tasks	Output
Pre-open	Build watchlist; rank strikes/expiries by gamma proxy; mark catalysts; note expected move; define no-trade levels.	Gamma map + candidate list + invalidation zones.
First 30-60 min	Observe tape speed, volume, IV, liquidity, and whether spot accepts above/below levels.	Trigger confirmation or rejection.
Entry	Choose structure; check bid/ask; size to max loss; place with limit orders; record thesis.	Ticket with max loss, target, stop, and monitoring plan.
During trade	Monitor spot vs strike, IV/RV, gamma-flip zones, flow changes, and hedge leg behavior.	Hold, trim, roll, or exit decision.
Close/post-trade	Capture P/L attribution: direction, vol, time, execution, model error.	Journal entry and model improvement note.

ORDER QUALITY

Use limit orders

Spread slippage can destroy edge. Do not pay through wide markets unless a risk process explicitly permits it.

TIME BOX

Set close window

For short-dated trades, define when theta, settlement, or assignment risk makes the thesis invalid.

SIZE

Risk by max loss

Size to worst-case spread loss or written stop, not to the confidence of the narrative.

REVIEW

Attribute errors

Separate thesis error, timing error, structure error, sizing error, and execution error.

RISK CONTROLS

Risk Controls and Kill Switches

Gamma frameworks can create false confidence because the language sounds mechanical. Treat every setup as conditional. A correct map can still lose because timing, IV, liquidity, borrow, assignment, or catalyst risk overwhelms the structure.

Control	Internal standard
Defined max loss	Every trade ticket includes max loss in dollars and as a percent of account/strategy risk budget.
No thesis drift	If entry was “vol expansion,” do not convert to “long-term bullish” after the breakout fails.
Liquidity filter	Skip structures with wide spreads, weak open interest, poor closing liquidity, or high assignment complexity.
Event filter	Earnings, macro, legal/regulatory, and corporate-action risk must be explicitly acknowledged.
Correlation filter	Pairs trades require beta/vol adjustment and a plan for correlation breaks.
Model humility	OI/gamma maps are approximations. Sign and magnitude can be wrong without live dealer-side data.

Kill-switch conditions

Exit or reduce when: (1) price violates invalidation; (2) IV behavior contradicts the thesis; (3) live flow reverses; (4) bid/ask becomes disorderly; (5) event risk appears that was not in the plan; or (6) the position can no longer be explained in the original thesis language.

Suitability warning: Options may involve the risk of losing the entire premium paid; certain written options can expose writers to losses greater than the initial amount received. Options are complex and not suitable for all investors. [1][4]

SCANNER SPEC

Scanner / Research Build Specification

Use this specification for a data pipeline, spreadsheet model, Python scanner, or TradingView-style dashboard. The goal is to rank candidates by regime quality, not to generate blind buy/sell signals.

Field	Definition / calculation	Why it matters
symbol, spot, timestamp	Instrument and current underlying price.	Baseline for all proximity and hedge calculations.
expiry, DTE, strike, call_put	Option contract metadata.	Gamma is highly sensitive to expiry and strike distance.
bid, ask, mid, spread_pct	(ask-bid)/mid.	Reject illiquid options before signal ranking.
OI, volume, vol/OI	Open interest and current session activity.	Separates stale interest from active flow.
delta, gamma, IV	Option Greeks from chain or model.	Core inputs for hedge and gamma proxies.
gamma_\$1pct_proxy	$\text{gamma} \times \text{OI} \times \text{multiplier} \times \text{spot}^2 \times 0.01$.	Ranks strikes by potential hedge sensitivity.
proximity_to_strike	$ \text{spot} - \text{strike} / \text{spot}$.	Gamma impact increases near the strike, especially short-dated.
flow_imbalance_score	Signed premium or buy/sell imbalance where available.	Improves confidence in dealer-side assumptions.
alert_type	pin, breakout, flip, expansion, compression, relative.	Forces thesis classification before trade selection.

Example alert rule

Flag “Expansion Candidate” only when: spot is within a defined distance of a high-gamma strike, recent volume/relative volume confirms activity, price accepts outside the strike/range, IV is stable-to-rising, bid/ask passes liquidity filters, and the trade has a written invalidation.

TRADE TICKET

Internal Trade Ticket Template

Use this page as a template. A trade should be clear enough that a reviewer can understand the regime, trigger, risk, and invalidation without asking for the narrative verbally.

Field	Required entry
Ticker / underlier	_____
Thesis type	Expansion / Compression / Relative / Event / Other: _____
Gamma regime	Dealer long / Dealer short / Flip / Unknown: _____
Key level(s)	_____
Trigger observed	_____
Structure	Debit spread / credit spread / straddle / condor / pair / calendar / other
Max loss / risk budget	_____
Target / trim plan	_____
Invalidation	_____
Exit time / event cutoff	_____
Data confidence tier	Tier 1 / Tier 2 / Tier 3: _____

Pre-entry sentence

"I am entering [structure] because [regime] + [trigger] implies [expected behavior]. I am wrong if [invalidation]. Max loss is [amount]."

REVIEW LOOP

Post-Trade Review: Build the Edge

The edge is not the first version of the framework; it is the improvement loop. Review whether the regime call, structure choice, timing, and execution each added or subtracted value.

Review item	Questions to answer
Regime call	Was dealer gamma sign/magnitude estimated correctly? Did price behave like pinning, transition, or expansion?
Trigger quality	Was entry based on confirmation or anticipation? Did spot accept beyond the level?
Structure choice	Did the selected spread match the actual behavior of direction, volatility, and time decay?
Risk execution	Was max loss honored? Was the exit plan followed without thesis drift?
P/L attribution	How much came from delta, gamma/convexity, vega, theta, spread slippage, or hedge leg?
Model update	What rule should change before the next trade?

Glossary Snapshot

Term	Internal meaning
Gamma flip	A zone where the estimated sign of dealer gamma changes, often making price action unstable or regime-dependent.
Pin risk	Tendency for price to gravitate around a large strike near expiration; not guaranteed and can break suddenly.
IV/RV spread	Implied volatility versus realized volatility; useful for judging expansion/compression structures.
Convexity	Nonlinear payoff behavior; long convexity benefits from larger moves but often pays theta/IV cost.
Basis risk	Risk that the hedge leg does not offset the long leg as expected.

REFERENCES

Sources, Disclosures, and Usage Boundaries

This playbook is an internal educational and research document. It is not financial advice, investment advice, a recommendation, a solicitation, or a substitute for legal/compliance review. Options and spread structures can lose money quickly, including the entire premium paid; certain written-option strategies may involve substantial or potentially unlimited losses. Review the current OCC Options Disclosure Document and broker/platform rules before trading options.

[1]	Options Clearing Corporation (OCC). <i>Characteristics and Risks of Standardized Options</i> . OCC states investors should read the Options Disclosure Document before buying or selling options and notes the June 2024 ODD supersedes prior versions. https://www.theocc.com/company-information/documents-and-archives/options-disclosure-document
[2]	Cboe Options Institute. <i>Learning the Greeks: An Expert's Perspective</i> . Explains that option Greeks are sensitivity measures and describes gamma as adding understanding to delta risk management. https://www.cboe.com/insights/posts/learning-the-greeks-an-experts-perspective/
[3]	Cboe. Mandy Xu. <i>Evaluating the Market Impact of SPX 0DTE Options</i> . Defines gamma hedging in a market-maker context; notes long gamma hedging can dampen moves while short gamma hedging can exacerbate moves, and that volume alone does not equal net risk. https://www.cboe.com/insights/posts/volatility-insights-evaluating-the-market-impact-of-spx-0-dte-options/
[4]	U.S. SEC Investor.gov. <i>Investor Bulletin: An Introduction to Options</i> . Notes risks such as losing the entire option premium and higher risks for some option writers. https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins-63
[5]	Options Industry Council (OIC). <i>Volatility Strategies</i> . Educational overview of strategies such as straddles, strangles, butterflies, and condors. https://www.optionseducation.org/videolibrary/volatility-strategies

Internal usage boundary

Do not use this playbook to justify a trade unless the data source, regime classification, trigger, structure, and risk budget are documented. When the evidence is mixed, the default action is to reduce size or skip.